

PROJECT DOCUMENT

PocketSmart AI: Your Smart Budget & Recommendation Assistant

A Mini Project Report

Submitted in partial fulfillment of the requirements
for the B.Sc. Computer Science Project

Name: _____

Register No.: _____

Department: B.Sc. Computer Science

College: _____

Academic Year: 2026–2027

1. Abstract

PocketSmart AI is a smart budget and recommendation assistant designed to help users manage their personal expenses more effectively. The system allows users to record income and expenses, categorize spending, set budgets, monitor financial habits, and receive personalized recommendations. By analyzing spending patterns, the application can provide simple suggestions such as reducing unnecessary expenses, setting suitable category limits, and planning future spending. The main goal of PocketSmart AI is to make personal budgeting simple, understandable, and useful for students and everyday users.

2. Introduction

Managing personal finances can be difficult when users do not regularly track their expenses. Small daily purchases can accumulate and make it difficult to understand where money is being spent. PocketSmart AI provides a digital solution for recording and analyzing financial activities. It combines budget tracking with recommendation features so that users can make informed decisions about their spending.

The application is intended to provide a simple user interface where users can enter income and expenses and view useful summaries. The recommendation component can use the user's spending history to identify patterns and suggest practical budget improvements.

3. Problem Statement

Many people track expenses manually or do not track them at all. Traditional methods may not provide automatic analysis or personalized suggestions. Users therefore need a simple system that can record transactions, organize expenses, compare actual spending with budgets, and provide recommendations based on their financial behavior.

4. Objectives

- To develop a simple personal budget management system.
- To allow users to record income and expenses.
- To categorize expenses for easier analysis.
- To allow users to create and monitor monthly budgets.
- To generate summaries of spending patterns.
- To provide personalized recommendations using AI-based analysis.
- To help users identify unnecessary or excessive spending.

5. Existing System

In the existing approach, users commonly depend on notebooks, spreadsheets, calculators, or basic expense-tracking applications. These methods can require manual calculations and may not provide personalized recommendations. They may also make it difficult for users to identify long-term spending patterns.

6. Proposed System

PocketSmart AI proposes an integrated budget and recommendation system. Users can enter financial transactions, assign categories, define budgets, and view spending summaries. The system analyzes transaction data and generates recommendations based on spending behavior. The proposed system reduces manual calculation and presents financial information in a clear format.

7. Major Modules

7.1 User Module

Provides user registration/login and basic profile management.

7.2 Income & Expense Module

Allows users to add, edit, and view income and expense transactions.

7.3 Category Management Module

Organizes transactions into categories such as food, transport, education, shopping, bills, and entertainment.

7.4 Budget Management Module

Allows users to set monthly or category-wise budgets and monitor their progress.

7.5 Dashboard Module

Displays total income, total expenses, remaining budget, category-wise spending, and other useful summaries.

7.6 AI Recommendation Module

Analyzes spending patterns and provides personalized suggestions, such as reducing spending in a high-expense category or setting a more realistic budget.

7.7 Report Module

Generates summaries and reports that help users understand their financial activity.

8. Key Features

- Simple and user-friendly interface
- Income and expense tracking
- Category-wise expense management
- Monthly budget setting
- Budget usage monitoring
- Spending summaries and reports
- Personalized recommendations
- Search and transaction history
- Data visualization through charts

- Basic privacy and user authentication

9. Technologies Used

- Frontend: HTML, CSS, JavaScript (or a suitable UI framework)
- Backend: Python / Java / Node.js, depending on implementation
- Database: MySQL / SQLite / Firebase
- AI/Recommendation: Rule-based analysis or a machine-learning model
- Development Environment: Visual Studio Code / Eclipse / IntelliJ IDEA

The exact technology stack can be selected according to the project implementation and college requirements.

10. System Requirements

10.1 Hardware Requirements

- Computer or laptop
- Minimum 4 GB RAM
- Minimum 10 GB available storage
- Internet connection for optional cloud/AI features

10.2 Software Requirements

- Operating System: Windows, Linux, or macOS
- Modern web browser
- Programming language environment
- Database management system
- Code editor or IDE

11. Working of the System

1. The user creates an account or logs into the application.
2. The user enters income and expense details.
3. The system stores each transaction with its category and date.
4. The user sets a budget for a month or for individual categories.
5. The dashboard calculates and displays spending and remaining budget.
6. The recommendation module analyzes the available transaction history.
7. The system displays personalized suggestions to help the user manage spending.

12. Example AI Recommendations

- “Your food expenses are higher than your planned budget. Consider setting a weekly food limit.”
- “You have spent more on entertainment this month than last month. Review optional expenses.”
- “Your monthly spending is within budget. Continue maintaining the current spending pattern.”
- “Based on your recent expenses, consider keeping an emergency savings amount before optional purchases.”

13. Advantages

- Makes expense tracking easier.
- Reduces manual budget calculations.
- Provides a clear view of spending habits.
- Helps users stay within their planned budget.
- Provides personalized and understandable recommendations.
- Can be extended with charts, alerts, and predictive analysis.

14. Limitations

- Recommendations depend on the accuracy and amount of transaction data.
- The system cannot guarantee financial outcomes.
- Advanced AI features may require more data and computational resources.
- Users must enter or connect transaction information accurately.

15. Future Enhancements

- Automatic bank transaction integration where supported.
- Voice-based expense entry.
- Advanced machine-learning based spending prediction.
- Savings goal tracking.
- Bill and payment reminders.
- Personalized monthly financial reports.
- Mobile application for Android and iOS.
- Multilingual support.

16. Conclusion

PocketSmart AI is designed as a practical personal budgeting and recommendation assistant. It combines expense tracking, budget monitoring, reporting, and personalized recommendations in one system. The project can help users understand their spending habits and plan their finances more effectively. With additional AI and mobile features, PocketSmart AI can be expanded into a more comprehensive personal finance application.

17. References

- Python Documentation – <https://docs.python.org/>
- MySQL Documentation – <https://dev.mysql.com/doc/>
- MDN Web Docs – <https://developer.mozilla.org/>
- General references on personal finance, budgeting, and recommendation systems.